

SENATE BILL 1807

By Bailey

AN ACT to amend Tennessee Code Annotated, Title 29;
Title 45; Title 47 and Title 66, relative to
algorithmic pricing.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 47, Chapter 18, Part 1, is amended by
adding the following as a new section:

47-18-139. Algorithmic pricing prohibited.

(a) As used in this section:

(1) "Algorithm" means a computational automated process that uses a
set of rules to define a sequence of operations;

(2) "Consumer" means a natural person who is seeking or has solicited
to purchase, lease, or receive a good or service for personal, family, or
household use;

(3) "Dynamic pricing" means pricing that fluctuates dependent on
conditions;

(4) "Entity" means a natural person, firm, organization, partnership,
association, corporation, or any other entity domiciled or doing business in this
state;

(5) "Personal data":

(A) Means any data that identifies or could reasonably be linked
with, directly or indirectly, a specific consumer or device; and

(B) Does not include location data that is used solely to calculate
the fare based on mileage and trip duration between the passenger's

pickup and drop-off locations for a prearranged ride, as defined in § 65-15-301, or by a taxi, limousine, or other for-hire vehicle regulated pursuant to § 7-51-1003; and

(6) "Personalized algorithmic pricing" means dynamic pricing set by an algorithm that uses personal data.

(b) An entity shall not set the price of a specific good or service for a consumer in this state using personalized algorithmic pricing.

(c) Subsection (b) does not apply to:

(1) An entity that is subject to the insurance law of this state;

(2) A financial institution or affiliate of a financial institution, all as defined in 15 U.S.C. § 6809, to the extent that the financial institution or affiliate is subject to Title V of the federal Gramm Leach Bliley Act (15 U.S.C. § 6801 et seq.);

(3) A state or national bank, a savings and loan association, savings bank, credit union, industrial loan and thrift company, or mortgage lender; or

(4) A price that is offered to a consumer who has an existing subscription-based contract or subscription-based agreement for goods or services with an entity and where such price is less than the price for the same good or service set forth in the subscription-based agreement or subscription-based contract.

(d) A violation of subsection (b) constitutes a violation of the Tennessee Consumer Protection Act of 1977, compiled in this part. A violation of subsection (b) constitutes an unfair or deceptive act or practice affecting trade or commerce and is subject to the penalties and remedies as provided in this part.

(e) This section does not limit any other criminal or civil liability such entity may be subject to under law.

SECTION 2. Tennessee Code Annotated, Section 47-18-104(b), is amended by adding the following as a new subdivision:

() Violating § 47-18-139;

SECTION 3. The heading in this act is for reference purposes only and does not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the heading in any compilation or publication containing this act.

SECTION 4. This act takes effect July 1, 2026, the public welfare requiring it, and applies to conduct occurring on or after that date.